

Tether's Gold Buying Slows Materially, but Still Keeping up With Central Banks

Gold has corrected, down \$1,000+/oz, from its January peak, but underlying demand from central banks and Tether remains. We continue our popular series looking at Tether's quarterly gold purchases. In 1Q26, Tether remained one of the largest non-sovereign buyers of gold globally. Recent World Gold Council data indicates that investment and central bank demand remain historically elevated despite volatile gold prices.

Tether's gold buying slows. Tether's estimated gold reserves backing USDT and XAU_T reached ~148t in 1Q26, up only slightly from ~142t at the end of 4Q25 and ~90t in mid-2025 (Exhibit 9). Based on available data, Tether's cumulative purchases over the last four quarters have at times represented more than 10% of quarterly central bank demand for gold (Exhibit 3). While the pace of accumulation has slowed materially q/q alongside gold's correction, Tether continues to grow its gold reserves. 2Q will be telling if Tether re-accelerates its buying to take advantage of lower gold prices. We think it would be rational to do so.

Contextualizing Tether's gold purchases vs. central banks. The 1Q26 World Gold Council report reinforced that central banks remain a key source of gold demand, purchasing ~244t during the quarter (+17% from ~209t q/q), despite ongoing price volatility (Exhibit 5). Poland, China, and emerging market economies, such as Uzbekistan and Kazakhstan, continued diversifying reserves toward gold amid rising geopolitical and macro uncertainty. Importantly, gold corrected sharply from its early-2026 peak, but Tether still ranked as the fifth-largest gold buyer in 1Q26, reinforcing its emergence as a new class of structural gold buyer. Gold demand is driven by central banks, but also increasingly by stablecoins like USDT, tokenized physical gold products like XAU_T, as well as blockchain-native balance sheets.

Recent developments at Tether. Several media sources reported that two senior traders hired from HSBC to build out Tether's bullion trading have departed. The departures likely reflect the operational challenge of building a physical gold trading business, refiner and bullion dealer ecosystem, particularly within a fast-moving blockchain-native organization. However, we do not view the departures as a sign that Tether is necessarily stepping back from gold strategically. Again, 2Q will be telling.

Gold price correction could slow the bid. We suspect the recent correction in gold prices could moderate speculative inflows and reduce the pace of incremental gold accumulation near-term. Some ETF flows have already slowed, while profit-taking appears to have increased during periods of volatility. That said, we do not believe the broader structural thesis has changed. The same factors, such as geopolitical tension, elevated G7 debt, currency debasement, and inflation, that helped drive gold higher over the last several years remain in place. We continue to see a supportive backdrop for both physical gold and tokenized gold products. While it remains to be seen if Tether re-accelerates buying now that gold prices are lower, we suspect the company remains structurally biased toward continued accumulation over time, given CEO Paolo Ardoino's repeated comments supporting long-term allocations to both bitcoin and gold.

See our previous reports [here](#) and [here](#) for more on Tether's gold buying, tokenization, and the benefits of tokenized physical gold.

Physical gold held as reserves for USDT and XAU_T rose to ~148t (\$22.2B) as of Mar 31

USDT & XAU _T				
	Jun 30	Sept 30	Dec 31	Mar 31
USDT Supply	\$157,693,626,186	\$174,686,735,091	\$187,337,899,591	\$183,780,507,273
Gold Value	\$8,725,417,224	\$12,921,449,635	\$17,450,435,088	\$19,837,696,372
% Gold Reserves	6%	7%	9%	11%
Gold Reserves	82t	104t	126t	132t
XAU _T				
	Jun 30	Sept 30	Dec 31	Mar 31
XAU _T Supply	246,524	375,572	520,089	514,129
Gold Value	\$814,304,375	\$1,449,318,278	\$2,246,458,120	\$2,399,888,986
Gold Reserves	8t	12t	16t	16t
Total Gold Value and Holdings				
	Jun 30	Sept 30	Dec 31	Mar 31
Gold Value	\$9,539,721,599	\$14,370,767,913	\$19,696,893,208	\$22,237,585,358
Gold Reserves	90t	116t	142t	148t

Source: USDT and XAU_T supply data from Glassnode. Gold values as of Mar 31 from Tether attestation reports.

Fahad Tariq * | Equity Analyst

(416) 637-2372 | ftariq@jefferies.com

Andrew Moss ^ | Equity Analyst

+1 (212) 336-7295 | amoss@jefferies.com

Charles Ehidihamen, CFA * | Equity Associate

+1 (416) 847-7398 | cehidihamen@jefferies.com

Tosin Jaiyeola * | Equity Associate

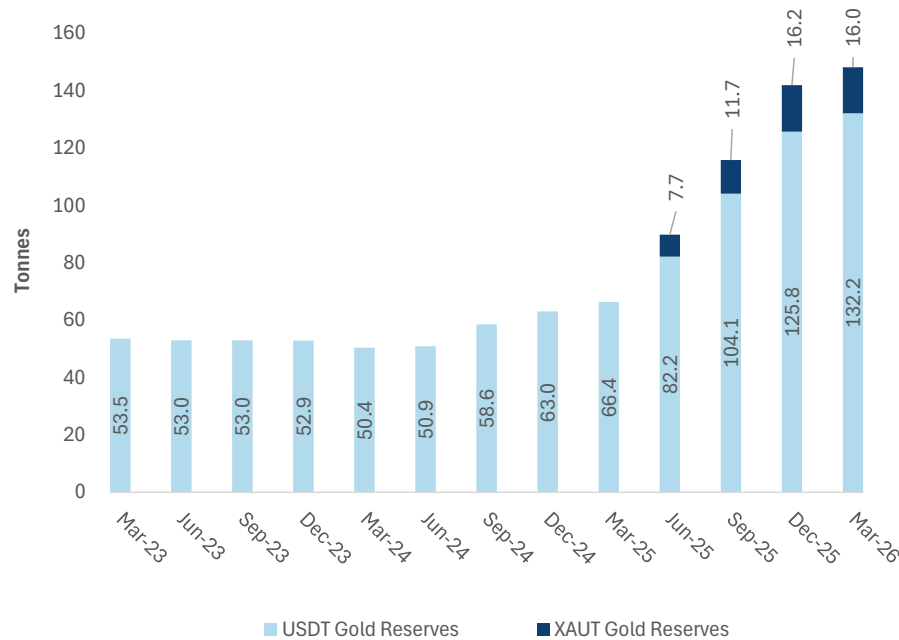
+1 (416) 637-2440 | tjaiyeola@jefferies.com

Aqil Taiyeb, ACA ^ | Equity Associate

(415) 229-8718 | ataiyeb@jefferies.com

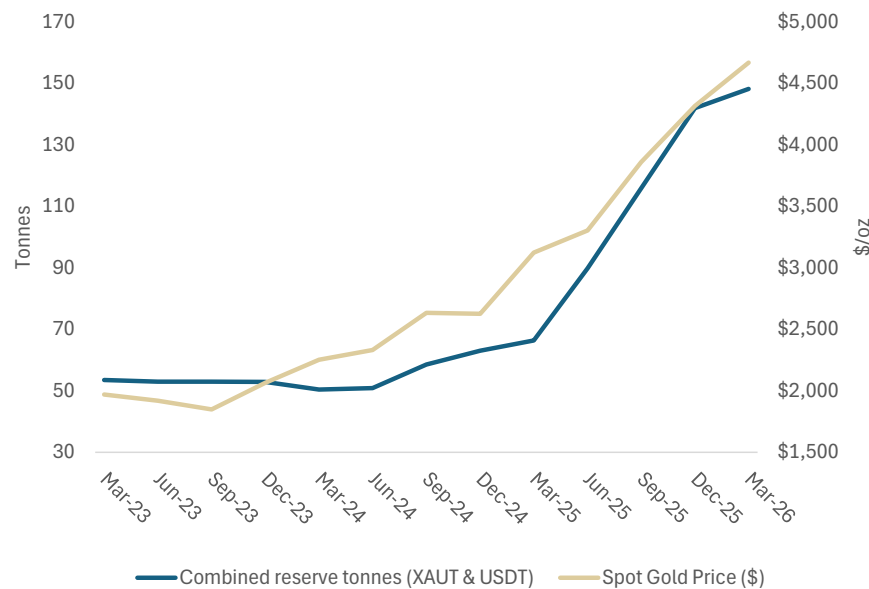
Tether's demand for physical gold originates from three categories: 1) Reserves purchased to back USDT, **2)** Reserves purchased to back XAU₪, and **3)** Reserves purchased with interest income as balance sheet assets. We have data for the first two categories, but not the third, given that Tether is a private company, indicating that the estimates we present represent the *minimum* amount of gold that Tether currently holds.

Exhibit 1 - Tether's Physical Gold Reserves in Tonnes



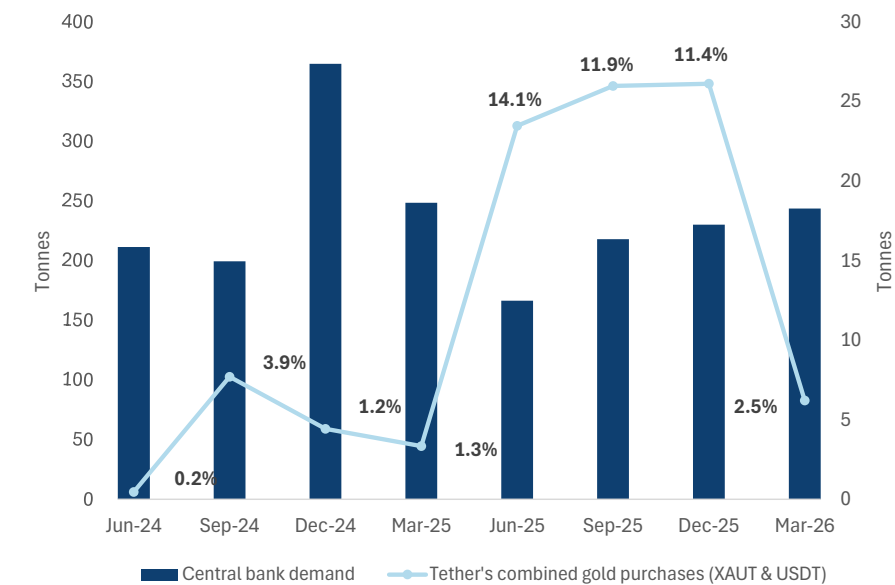
Source: Tether, Jefferies

Exhibit 2 - Tether's Physical Gold Reserves in Tonnes vs Spot Gold Price



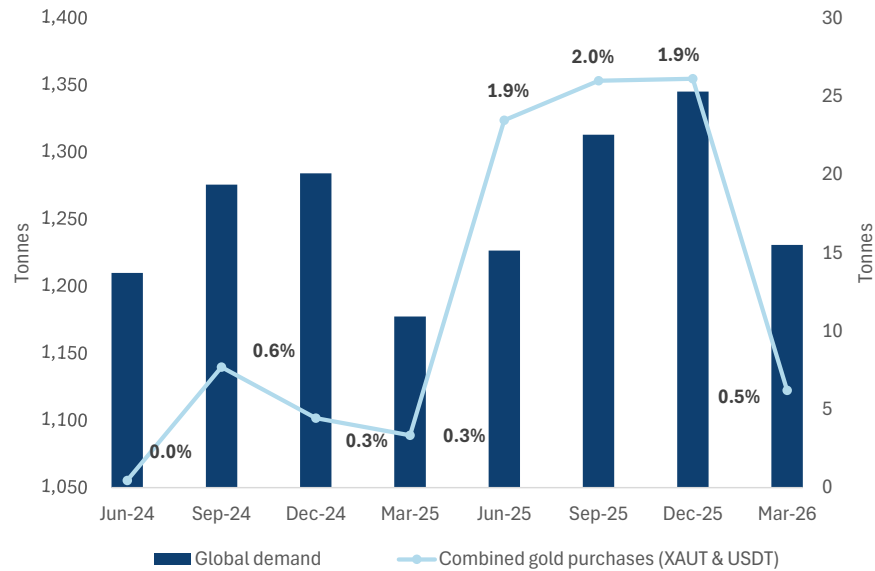
Source: Tether, FactSet, Jefferies

Exhibit 3 - Tether's Gold Purchases vs Central Bank Gold Demand



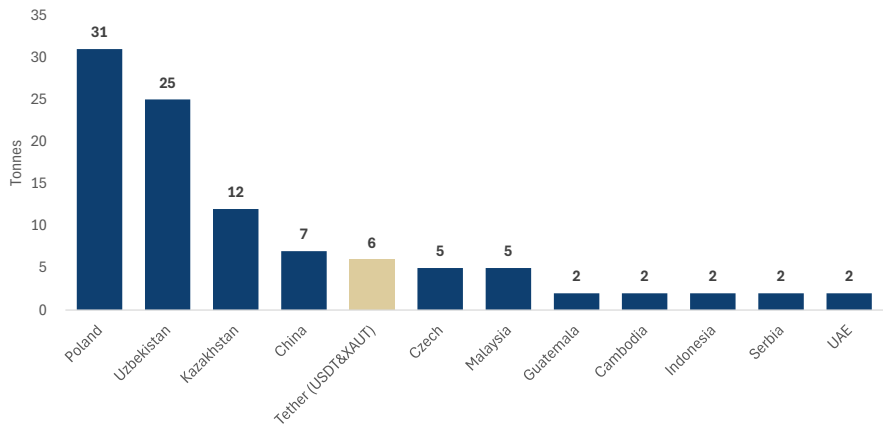
Source: World Gold Council, Tether, Jefferies
1. Tether's net gold purchases are assumed to equal the quarterly change in reported gold reserves
2. % represents Tether purchases as a % of central bank gold demand

Exhibit 4 - Tether's Gold Purchases vs Total Gold Demand



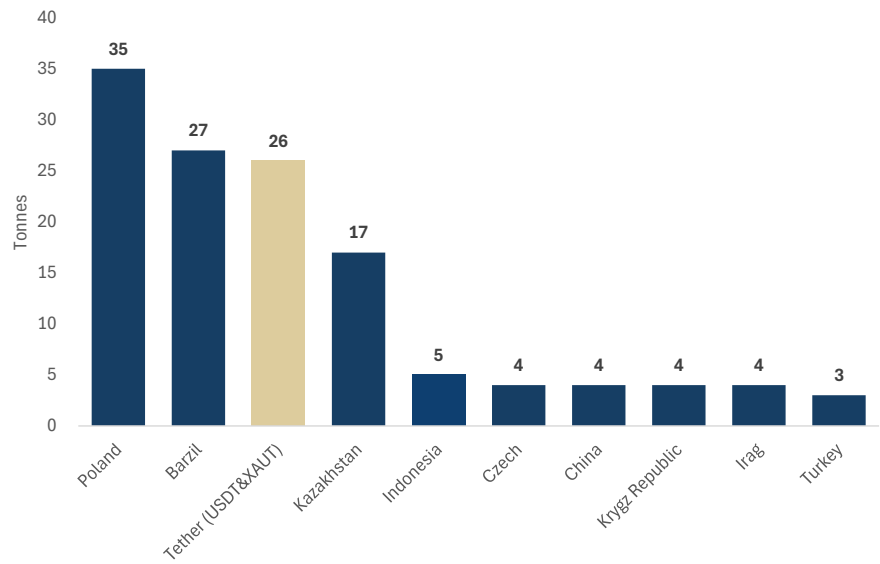
Source: World Gold Council, Tether, Jefferies
1. Tether's net gold purchases are assumed to equal the quarterly change in reported gold reserves
2. % represents Tether purchases as a % of total gold demand

Exhibit 5 - 1Q26 Net Gold Purchases by Tether vs Select Top Central Banks



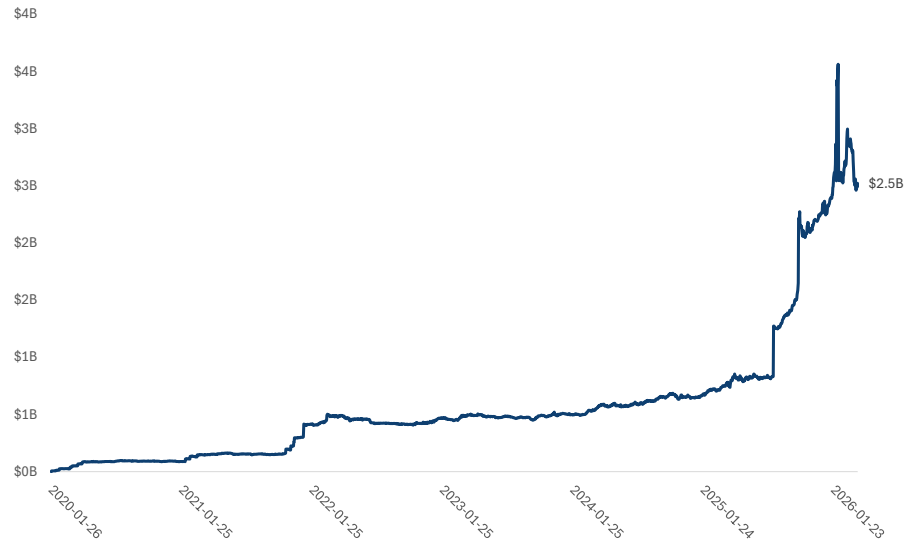
Source: Tether, World Gold Council
Data to 31 March 2026 where available.

Exhibit 6 - 4Q Net Gold Purchases by Tether vs Select Top Central Banks



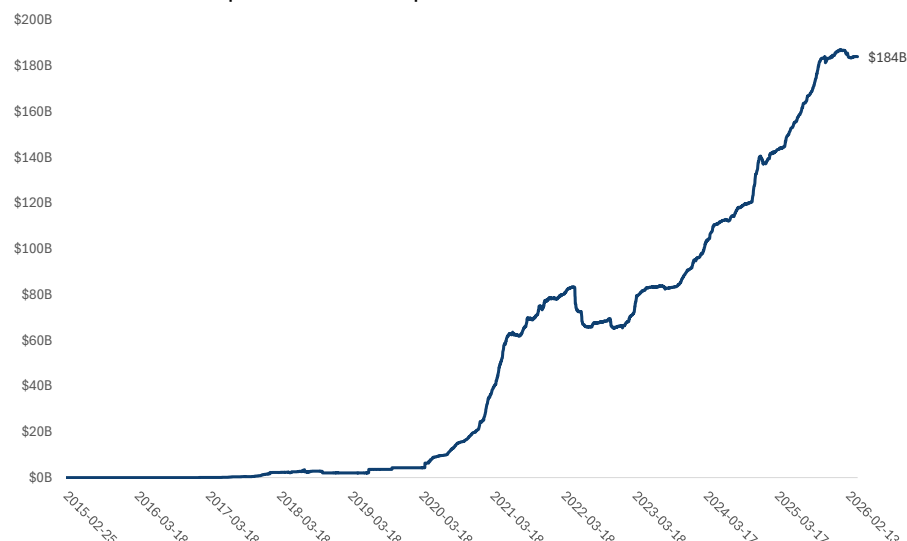
Source: Tether, World Gold Council

Exhibit 7 - XAUT Market Capitalization Since Inception



Source: CoinGecko

Exhibit 8 - USDT Market Capitalization Since Inception



Source: CoinGecko

What does tokenized gold have to do with the gold rally? Through the data transparency enabled by blockchains, as well as Tether's attestation reports, we can determine how much gold Tether holds as reserves to back its USDT stablecoin and XAU_T tokenized gold product. **As of Mar 31, Tether held ~148t of gold (\$22.2B) as reserves to back its USDT stablecoin and XAU_T tokenized gold product, representing an increase of ~7t q/q (Exhibit 9).**

USDT: Tether's USDT supply reached \$184B on Mar 31 with its 1Q26 attestation report showing gold held as reserves valued at \$19.8B, or ~132t.

XAU_T: Tether's XAU_T supply reached 514,129 on Mar 31, representing 514,129 fine troy ounces of physical gold, with its 1Q26 attestation report showing gold held as reserves valued at \$2.4B, or ~16t.

Gold held as reserves to back USDT and XAU_T is unlikely to fully reflect the physical gold that Tether holds. Tether CEO Paolo Arduino has stated that he intends to allocate 10-15% of its investment portfolio to physical gold, which is separate from the reserves backing USDT and XAU_T.

Exhibit 9 - Physical gold held as reserves for USDT and XAU_T rose to ~148t (\$22.2B) as of Mar 31

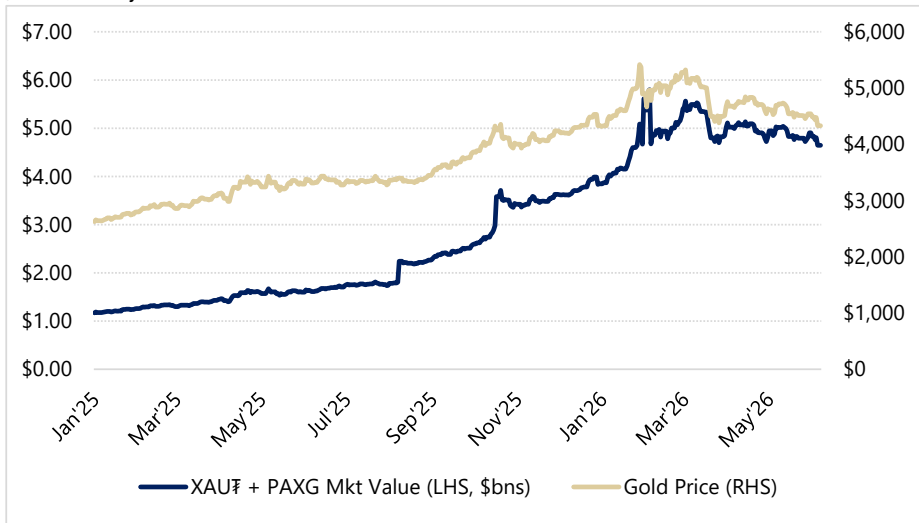
USDT & XAU _T				
	Jun 30	Sept 30	Dec 31	Mar 31
USDT Supply	\$157,693,626,186	\$174,686,735,091	\$187,337,899,591	\$183,780,507,273
Gold Value	\$8,725,417,224	\$12,921,449,635	\$17,450,435,088	\$19,837,696,372
% Gold Reserves	6%	7%	9%	11%
Gold Reserves	82t	104t	126t	132t
XAU _T				
	Jun 30	Sept 30	Dec 31	Mar 31
XAU _T Supply	246,524	375,572	520,089	514,129
Gold Value	\$814,304,375	\$1,449,318,278	\$2,246,458,120	\$2,399,888,986
Gold Reserves	8t	12t	16t	16t
Total Gold Value and Holdings				
	Jun 30	Sept 30	Dec 31	Mar 31
Gold Value	\$9,539,721,599	\$14,370,767,913	\$19,696,893,208	\$22,237,585,358
Gold Reserves	90t	116t	142t	148t

Source: USDT and XAU_T supply data from Glassnode. Gold values as of Mar 31 from Tether attestation reports.

Tokenized gold supply (and market value) continues to grow

The market value for tokenized gold rose to \$5.0B in by Mar-31 (+30% q/q, +246% y/y) falling marginally to \$4.9B as of May 31 (Exhibit 10). The two largest tokens by market value representing ownership of physical gold are Tether Gold (XAU_T), issued by TG Commodities, a Tether subsidiary, and Pax Gold (PAXG), issued by Paxos Trust Company. Both tokens represent ownership of one fine troy ounce of gold from a specific gold bar held in undisclosed vaults in Switzerland with prices reflecting the current market price.

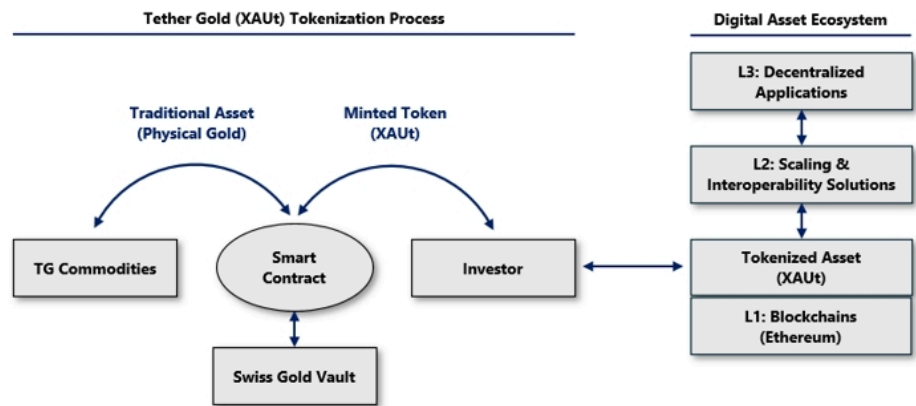
Exhibit 10 - Tokenized gold's mkt value rose to \$5.0B in by Mar-31 (+30% q/q, +246% y/y) falling marginally to \$4.9B as of May 31.



Source: Glassnode, Bloomberg. Gold price represents the price of 1 troy ounce quoted in USD.

Tokenization refers to the process of creating digital programmable representations of traditional and alternative financial assets that can be exchanged and tracked on blockchains. Tokenized traditional and alternative assets run on the same blockchain infrastructure as BTC, Bitcoin's native token, and ETH, Ethereum's native token, but are digital representations of assets that were issued (or mined in the case of gold) through traditional processes (Exhibit 11). We note that each XAU_T token represents ownership of 1 fine troy ounce of London Good Delivery gold for a specific gold bar securely stored by a custodian in a vault in Switzerland. Token ownership is immutably recorded on the Ethereum blockchain and can be divided (fractionalized) into units of up to 6 decimal places for XAU_T and 18 decimal places for PAXG.

Exhibit 11 - The tokenization process - from physical gold to XAUt



Source: Jefferies LLC

Company Valuation/Risks

HSBC Holdings PLC

Our price target is based on Gordon Growth framework (Ke 11%; TG 2%). Risks revolve around CET1 capital position of the bank, capital distribution, macro, regulation and operational execution.

Analyst Certification:

I, Fahad Tariq, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Andrew Moss, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Charles Ehidiemhen, CFA, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Tosin Jaiyeola, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

I, Aqil Taiyeb, ACA, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

Registration of non-US analysts: Fahad Tariq is employed by Jefferies Securities, Inc. , a non-US affiliate of Jefferies LLC and is not registered/qualified as a research analyst with FINRA. This analyst(s) may not be an associated person of Jefferies LLC, a FINRA member firm, and therefore may not be subject to the FINRA Rule 2241 and restrictions on communications with a subject company, public appearances and trading securities held by a research analyst.

Registration of non-US analysts: Charles Ehidiemhen, CFA is employed by Jefferies Securities, Inc. , a non-US affiliate of Jefferies LLC and is not registered/qualified as a research analyst with FINRA. This analyst(s) may not be an associated person of Jefferies LLC, a FINRA member firm, and therefore may not be subject to the FINRA Rule 2241 and restrictions on communications with a subject company, public appearances and trading securities held by a research analyst.

Registration of non-US analysts: Tosin Jaiyeola is employed by Jefferies Securities, Inc. , a non-US affiliate of Jefferies LLC and is not registered/qualified as a research analyst with FINRA. This analyst(s) may not be an associated person of Jefferies LLC, a FINRA member firm, and therefore may not be subject to the FINRA Rule 2241 and restrictions on communications with a subject company, public appearances and trading securities held by a research analyst.

As is the case with all Jefferies employees, the analyst(s) responsible for the coverage of the financial instruments discussed in this report receives compensation based in part on the overall performance of the firm, including investment banking income. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Aside from certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgement.

Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	June 11, 2026 12:22 P.M.
Recommendation Distributed	June 11, 2026 16:15 P.M.

Company Specific Disclosures

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of HSBC Holdings PLC.

Explanation of Jefferies Ratings

Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.

Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.

Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.

The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below \$10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently

below \$10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below \$10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.

NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.

CS - Coverage Suspended. Jefferies has suspended coverage of this company.

NC - Not covered. Jefferies does not cover this company.

Restricted - Describes issuers where, in conjunction with Jefferies engagement in certain transactions, company policy or applicable securities regulations prohibit certain types of communications, including investment recommendations.

Monitor - Describes securities whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Valuation Methodology

Jefferies' methodology for assigning ratings may include the following: market capitalization, maturity, growth/value, volatility and expected total return over the next 12 months. The price targets are based on several methodologies, which may include, but are not restricted to, analyses of market risk, growth rate, revenue stream, discounted cash flow (DCF), EBITDA, EPS, cash flow (CF), free cash flow (FCF), EV/EBITDA, P/E, PE/growth, P/CF, P/FCF, premium (discount)/average group EV/EBITDA, premium (discount)/average group P/E, sum of the parts, net asset value, dividend returns, and return on equity (ROE) over the next 12 months.

Jefferies Franchise Picks

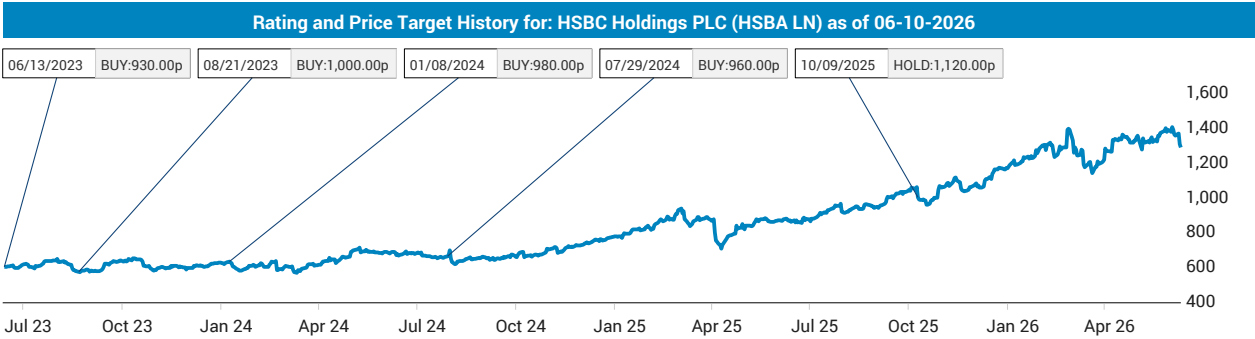
Jefferies Franchise Picks include stock selections from among the best stock ideas from our equity analysts over a 12 month period. Stock selection is based on fundamental analysis and may take into account other factors such as analyst conviction, differentiated analysis, a favorable risk/reward ratio and investment themes that Jefferies analysts are recommending. Jefferies Franchise Picks will include only Buy rated stocks and the number can vary depending on analyst recommendations for inclusion. Stocks will be added as new opportunities arise and removed when the reason for inclusion changes, the stock has met its desired return, if it is no longer rated Buy and/or if it triggers a stop loss. Stocks having 120 day volatility in the bottom quartile of S&P stocks will continue to have a 15% stop loss, and the remainder will have a 20% stop. Franchise Picks are not intended to represent a recommended portfolio of stocks and is not sector based, but we may note where we believe a Pick falls within an investment style such as growth or value.

Risks which may impede the achievement of our Price Target

This report was prepared for general circulation and does not provide investment recommendations specific to individual investors. As such, the financial instruments discussed in this report may not be suitable for all investors and investors must make their own investment decisions based upon their specific investment objectives and financial situation utilizing their own financial advisors as they deem necessary. Past performance of the financial instruments recommended in this report should not be taken as an indication or guarantee of future results. The price, value of, and income from, any of the financial instruments mentioned in this report can rise as well as fall and may be affected by changes in economic, financial and political factors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. To the extent prices are shown in non-US currency, please note that our local currency price targets are based on a currency conversion using an exchange rate as of the prior trading day (unless otherwise noted). Should there be fluctuations in the exchange rate after this date, that will affect the non-US target prices and should no longer be relied upon. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

Other Companies Mentioned in This Report

• HSBC Holdings PLC (HSBA LN: p1,293.40, HOLD)



Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

Distribution of Ratings			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2198	62.07%	380	17.29%	113	5.14%
HOLD	1179	33.30%	109	9.25%	20	1.70%
UNDERPERFORM	164	4.63%	1	0.61%	1	0.61%

Other Important Disclosure

Other Important Disclosures

Jefferies does business and seeks to do business with companies covered in its research reports, and expects to receive or intends to seek compensation for investment banking services among other activities from such companies. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Jefferies Equity Research refers to research reports produced by analysts employed by one of the following Jefferies Financial Group Inc. ("Jefferies") companies:

United States: Jefferies LLC which is an SEC registered broker-dealer and a member of FINRA (and distributed by Jefferies Research Services, LLC, an SEC registered Investment Adviser, to clients paying separately for such research).

Canada: Jefferies Securities Inc., which is an investment dealer registered in each of the thirteen Canadian jurisdictions and a dealer member of the Canadian Investment Regulatory Organization, including research reports produced jointly by Jefferies Securities Inc. and another Jefferies entity (and distributed by Jefferies Securities Inc.).

Where Jefferies Securities Inc. distributes research reports produced by Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, or Jefferies India Private Limited, you are advised that each of Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, and Jefferies India Private Limited operates as a dealer in your jurisdiction under an exemption from the dealer registration requirements contained in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations and, as such, each of Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, and Jefferies India Private Limited is not required to be and is not a registered dealer or adviser in your jurisdiction. You are advised that where Jefferies LLC or Jefferies International Limited prepared this research report, it was not prepared in accordance with Canadian disclosure requirements relating to research reports in Canada.

United Kingdom: Jefferies International Limited, which is authorized and regulated by the Financial Conduct Authority; registered in England and Wales No. 1978621; registered office: 100 Bishopsgate, London EC2N 4JL; telephone +44 (0)20 7029 8000; facsimile +44 (0)20 7029 8010.

Germany: Jefferies GmbH, which is authorized and regulated by the Bundesanstalt fuer Finanzdienstleistungsaufsicht, BaFin-ID: 10150151; registered office: Bockenheimer Landstr. 24, 60323 Frankfurt a.M., Germany; telephone: +49 (0) 69 719 1870

Hong Kong: Jefferies Hong Kong Limited, which is licensed by the Securities and Futures Commission of Hong Kong with CE number ATS546; located at Level 26, Two International Finance Center, 8 Finance Street, Central, Hong Kong; telephone: +852 3743 8000.

Singapore: Jefferies Singapore Limited, which is licensed by the Monetary Authority of Singapore; located at 10 Collyer Quay #41-01, Ocean Financial Centre, Singapore 049315, telephone: +65 6551 3950.

Japan: Jefferies Japan Company Limited, which is a securities company registered by the Financial Services Agency of Japan and is a member of the Japan Securities Dealers Association; located at Tokyo Midtown Hibiya 30F Hibiya Mitsui Tower, 1-1-2 Yuraku-cho, Chiyoda-ku, Tokyo 100-0006; telephone +813 5251 6100; facsimile +813 5251 6101.

India: Jefferies India Private Limited (CIN - U74140MH2007PTC200509), licensed by the Securities and Exchange Board of India for: Stock Broker (NSE & BSE) INZ000243033, Research Analyst INH000000701 and Merchant Banker INM000011443, located at Level 16, Express Towers, Nariman Point, Mumbai 400 021, India; Tel +91 22 4356 6000. Compliance Officer name: Sanjay Pai, Tel No: +91 22 42246150, Email: spai@jefferies.com, Grievance officer name: Sanjay Pai, Tel no. +91 22 42246150, Email: compliance_india@jefferies.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

Australia: Jefferies (Australia) Pty Limited (ACN 623 059 898), which holds an Australian financial services license (AFSL 504712) and is located at Level 20, 60 Martin Place, Sydney NSW 2000; telephone +61 2 9364 2800.

Dubai: Jefferies International Limited, Dubai branch, which is licensed by the Dubai Financial Services Authority (DFSA Reference Number F007325); registered office Unit L31-06, L31-07, Level 31, ICD Brookfield Pace, DIFC, PO Box 121208, Dubai, UAE.

This report was prepared by personnel who are associated with Jefferies (Jefferies Securities Inc., Jefferies International Limited, Jefferies GmbH, Jefferies Hong Kong Limited, Jefferies Singapore Limited, Jefferies Japan Company Limited, Jefferies India Private Limited), and Jefferies (Australia) Pty Ltd; or by personnel who are associated with both Jefferies LLC and Jefferies Research Services LLC ("JRS"). Jefferies LLC is a US registered broker-dealer and is affiliated with JRS, which is a US registered investment adviser. JRS does not create tailored or personalized research and all research provided by JRS is impersonal. If you are paying separately for this research, it is being provided to you by JRS. Otherwise, it is being provided by Jefferies LLC. Jefferies LLC, JRS, and their affiliates are collectively referred to below as "Jefferies". Jefferies may seek to do business with companies covered in this research report. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only one of many factors in making their investment decisions. Specific conflict of interest and other disclosures that are required by FINRA, the Canadian Investment Regulatory Organization and other rules are set forth in this disclosure section.

If you are receiving this report from a non-US Jefferies entity, please note the following: Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, as amended, this material is distributed in the United States by Jefferies LLC, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6 under the US Securities Exchange Act of 1934, as amended. Transactions by or on behalf of any US person may only be effected through Jefferies LLC. In the United Kingdom and European Economic Area this report is issued and/or approved for distribution by Jefferies International Limited ("JIL") and/or Jefferies GmbH and is intended for use only by persons who have, or have been assessed as having, suitable professional experience and expertise, or by persons to whom it can be otherwise lawfully distributed. Jefferies LLC, JIL, Jefferies GmbH and their affiliates, may make a market or provide liquidity in the financial instruments referred to in this report; and where they do make a market, such activity is disclosed specifically in this report under "company specific disclosures".

For Canadian investors, this material is intended for use only by professional or institutional investors. None of the investments or investment services mentioned or described herein is available to other persons or to anyone in Canada who is not a "permitted client" as defined by National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations, as applicable. This research report is a general discussion of the merits and risks of a security or securities only, and is not in any way meant to be tailored to the needs and circumstances of any recipient. The information contained herein is not, and under no circumstances is to be construed as, an offer to sell securities described herein, or solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators, if applicable, and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. The information contained herein is under no circumstances to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon this research report, the information contained herein or the merits of the securities described herein, and any representation to the contrary is an offence.

In Singapore, Jefferies Singapore Limited ("JSL") is regulated by the Monetary Authority of Singapore. For investors in the Republic of Singapore, where this material is prepared and issued by a Jefferies affiliate outside of Singapore, it is distributed by JSL pursuant to Regulation 32C of the Financial Advisers Regulations. The material contained in this document is intended solely for accredited, expert or institutional investors, as defined under the Securities and Futures Act 2001 (Singapore). If there are any matters arising from, or in connection with this material, please contact JSL, located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950. In Dubai, this material is issued and distributed by Jefferies International Limited, Dubai branch, and is intended solely for Professional Clients and should not be distributed to, or relied upon by, Retail Clients (as defined by DFSA). A distribution of ratings in percentage terms in each sector covered is available upon request from your sales representative. In Japan, this material is issued and distributed by Jefferies Japan Company Limited to institutional investors only. In Hong Kong, this report is issued and approved by Jefferies Hong Kong Limited and is intended for use only by professional investors as defined in the Hong Kong Securities and Futures Ordinance and its subsidiary legislation. In the Republic of China (Taiwan), this report should not be distributed. The research in relation to this report is conducted outside the People's Republic of China ("PRC"). This report does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. In India, this report is made available by Jefferies India Private Limited. In Australia, this report is issued and/or approved for distribution by, or on behalf of, Jefferies (Australia) Securities Pty Ltd (ACN 610 977 074), which holds an Australian financial services license (AFSL 487263). It is directed solely at wholesale clients within the meaning of the Corporations Act 2001 (Cth) of Australia (the "Corporations Act"), in connection with their consideration of any investment or investment service that is the subject of this report. This report may contain general financial product advice. Where this report refers to a particular financial product, you should obtain a copy of the relevant product disclosure statement or offer document before making any decision in relation to the product. Recipients of this document in any other jurisdictions should inform themselves about and observe any applicable legal requirements in relation to the receipt of this document. This report is not an offer or solicitation of an offer to buy or sell any security or derivative instrument, or to make any investment. Any opinion or estimate constitutes the preparer's best judgment as of the date of preparation, and is subject to change without notice. Jefferies assumes no obligation to maintain or update this report based on subsequent information and events. Jefferies, and their respective officers, directors, and employees, may have long or short positions in, or may buy or sell any of the securities, derivative instruments or other investments mentioned or described herein, either as agent or as principal for their own account. This material is provided solely for informational purposes and is not tailored to any recipient, and is not based on, and does not take into account, the particular investment objectives, portfolio holdings, strategy, financial situation, or needs of any recipient. As such, any advice or recommendation in this report may not be suitable for a particular recipient. Jefferies assumes recipients of this report are capable of evaluating the information contained herein and of exercising independent judgment. A recipient of this report should not make any investment decision without first considering whether any advice or recommendation in this report is suitable for the recipient based on the recipient's particular circumstances and, if appropriate or otherwise needed, seeking professional advice, including tax advice. Jefferies does not perform any suitability or other analysis to check whether an investment decision made by the recipient based on this report is consistent with a recipient's investment objectives, portfolio holdings, strategy, financial situation, or needs.

By providing this report, neither JRS nor any other Jefferies entity accepts any authority, discretion, or control over the management of the recipient's assets. Any action taken by the recipient of this report, based on the information in the report, is at the recipient's sole judgment and risk. The recipient must perform his or her own independent review of any prospective investment. If the recipient uses the services of Jefferies LLC (or other affiliated broker-dealers), in connection with a purchase or sale of a security that is a subject of these materials, such broker-dealer may act as principal for its own accounts or as agent for another person. Only JRS is registered with the SEC as an investment adviser; and therefore neither Jefferies LLC nor any other Jefferies affiliate has any fiduciary duty in connection with distribution of these reports.

The price and value of the investments referred to herein and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

This report may contain forward looking statements that may be affected by inaccurate assumptions or by known or unknown risks, uncertainties, and other important factors. As a result, the actual results, events, performance or achievements of the financial product may be materially different from those expressed or implied in such statements.

This report has been prepared independently of any issuer of securities mentioned herein and not as agent of any issuer of securities. No Equity Research personnel have authority whatsoever to make any representations or warranty on behalf of the issuer(s). Any comments or statements made herein are those of the Jefferies entity producing this report and may differ from the views of other Jefferies entities.

This report may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's, and information derived from third-party or proprietary generative artificial intelligence (Gen AI) models. Jefferies does not guarantee the accuracy, completeness, timeliness or availability of this information, and is not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Neither Jefferies nor any third-party content providers, including providers of Gen AI models, give any express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Neither Jefferies nor any third-party content provider shall be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party.

Jefferies research reports are disseminated and available electronically, and, in some cases, also in printed form. Electronic research is simultaneously made available to all clients. This report or any portion hereof may not be copied, reprinted, sold, or redistributed or disclosed by the recipient or any third party, by content scraping or extraction, automated processing, or any other form or means, without the prior written consent of Jefferies. Any unauthorized use is prohibited. Neither Jefferies nor any of its respective directors, officers or employees, is responsible for guaranteeing the financial success of any investment, or accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this report or its contents. Nothing herein shall be construed to waive any liability Jefferies has under applicable U.S. federal or state securities laws.

For Important Disclosure information relating to JRS, please see https://adviserinfo.sec.gov/IAPD/Content/Common/crd_iapd_Brochure.aspx?BRCHR_VRSN_ID=483878 and <https://adviserinfo.sec.gov/Firm/292142> or visit our website at <https://javatar.bluematrix.com/sellside/Disclosures.action>, or www.jefferies.com, or call 1.888.JEfferies.

© 2026 Jefferies